Calendar Line 1
Case Name: R. Anschel v. Intuit Inc. et al.
Case No.: 25CV479515

Defendant Intuit, Inc.'s (Intuit) demurrer to the complaint. Notice is proper and the demurrer is opposed by Plaintiff Rotem Anschel (Plaintiff).

This is an employment discrimination and wrongful termination action brought by Plaintiff against defendants Intuit, Saurav Sharma (Sharma), Sandeep Adhikary (Adhikary), Taran Sing (Sing), and Yan Wu (Wu).

Plaintiff filed the original and still operative complaint in November 2025, alleging seven causes of action: (1) wrongful termination in violation of public policy; (2) discrimination based on race and national origin; (3) retaliation for engaging in protected activity; (4) defamation; (5) harassment based on race and national origin; (6) failure to prevent discrimination, harassment, and retaliation; and (7) intentional infliction of emotional distress.

According to the Complaint, Intuit recruited Plaintiff in September 2024. (Complaint, ¶ 20.) Plaintiff consistently met and exceeded Intuit's expectations. (*Id.* at ¶ 21.) Intuit employed managers and supervisors (Sharma, Adhikary, Sing, and Wu) who allegedly engaged in discrimination and harassment that created a hostile work environment for Plaintiff. (*Id.* at ¶¶ 5, 22.) The Complaint alleges the managers and supervisors discriminated against Plaintiff based on his Israeli national origin. (*Id.* at ¶¶ 24-25.)

The Complaint alleges that certain Intuit executives and supervisors made false, malicious statements regarding Plaintiff's competence in May 2025 that were captured in audio recordings. (Complaint, ¶ 29.) The recordings were subsequently circulated among other Intuit employees. (*Id*. at ¶ 31.) Wu falsely claimed that Plaintiff planted a microphone in Sharma's office, leading to the recording incident. (*Id.* at ¶ 32.) Plaintiff made formal internal complaints to Intuit's Human Resources department and internal ethics hotline concerning the discriminatory harassment and defamatory statements. (*Id.* at ¶ 34.) Intuit then commenced a systematic and continuous campaign of retaliation. (*Id.* at ¶ 35.)

Plaintiff filed a formal Charge of Discrimination in June 2025 against Intuit with the U.S. Equal Employment Opportunity Commission (EEOC) and the California Civil Rights Department. (Complaint, ¶ 40.) In retaliation, Intuit posted a job opening for Plaintiff's position in July 2025. (*Id.* at ¶ 42.) Intuit terminated Plaintiff in August 2025 even though he received an "Achieving Expectations" rating, a 3% salary increase, a 100% target bonus, and a grant of $150,000 in restricted stock units just days before. (*Id.* at ¶¶ 44-45.)

At issue is Intuit's combined demurrer and motion to strike. Plaintiff timely filed an opposition to the demurrer on June 30, which is nine court days before the hearing.

PROCEDURAL ISSUES

The Motion to Strike is Denied

Intuit's combined demurrer and motion to strike should have been filed as two separate motions. Intuit also did not give proper notice for its motion to strike. "A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense. Specifications in a notice must be numbered consecutively." (California Rules of Court, Rule 3.1322, subd. (a).) While Intuit identifies the page and line number of the portions that are sought to be stricken within its memorandum of points and authorities, the California Rules of Court are clear in requiring this information be presented in a notice of motion to strike. Intuit's motion to strike is denied.

Code of Civil Procedure Section 367

Intuit contends that the Complaint must be amended notwithstanding the outcome of its demurrer because Plaintiff improperly initiated this action under the pseudonym, R. Anschel. Code of Civil Procedure section 367 requires an action to be "prosecuted in the name of the real party in interest, except as otherwise provided by statute." Courts have permitted the usage of pseudonyms such as "Doe plaintiffs" in litigation, but the usage must be justified. (*Doe v. Lincoln Unified School Dist.* (2010) 188 Cal.App.4th 758, 766-767.) Plaintiff does not offer any justification for the abbreviated first name, but agrees to use his full name in subsequent pleadings. (Opposition, 15:13-16.) Plaintiff must use his full name in these proceedings. (Code Civ. Proc., § 422.40.)

REQUEST FOR JUDICIAL NOTICE

Intuit's request for judicial notice of Plaintiff's unsigned Charge of Discrimination filed with the EEOC in June 2025 is denied. It does not constitute a court record or an official act of any legislative, executive, or judicial office. (Evid. Code, § 452, subds. (c)-(d).) Intuit offers no information indicating how the facts and propositions are not reasonably subject to dispute. (Evid. Code, § 453, subd. (b) [requiring a request to furnish the court with sufficient information to enable it to take judicial notice of the matter].) *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, 924, fn. 1, is distinguishable. The request in that case concerned recorded documents related to real property, and the court made clear it took notice of their existence but "not of disputed or disputable facts stated therein."

Intuit's request for judicial notice of the United States Patent for the Blind application is denied as irrelevant. (See *Aquila, Inc. v. Super. Ct. (City and County of San Francisco)* (2007) 148 Cal.App.4th 556, 569, ["Although a court may judicially notice a variety of matters [citation], only *relevant* material may be noticed."])

LEGAL STANDARDS FOR DEMURRER

In ruling on a demurrer, the court accepts as true all properly pleaded material factual allegations but does not accept as true contentions, deductions or conclusions of fact or law. (*Valero v. Spread Your Wings, LLC* (2023) 88 Cal.App.5th 243, 253.) Code of Civil Procedure section 430.60 states that "[a] demurrer shall distinctly specify the grounds upon which any of the objections to the complaint, cross-complaint, or answer are taken. Unless it does so, it may be disregarded." The California Rules of Court also require that the demurrer itself (distinct from a supporting memorandum) specify the target of any objection and the grounds. (Cal. Rules of Court, rules 3.1103(c), 3.1112(a), 3.1320(a) ["Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses."])

The court cannot consider extrinsic evidence when ruling on a demurrer. This includes declarations. The court has considered the declaration from Tayanah C. Miller filed in support of the demurrer only to the extent it discusses the meet and confer efforts required by statute.

DISCUSSION

Intuit demurs to the fourth cause of action for defamation and seventh cause of action for intentional infliction of emotional distress (IIED) on the ground that the causes of action are barred by the common interest privilege and Penal Code section 632. Intuit also demurs to the fourth through seventh causes of action on the ground that each fails to state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

Common Interest Privilege (Fourth and Seventh Causes of Action)

The common interest privilege is codified in Civil Code section 47, subdivision (c). It provides a qualified privilege for statements made "without malice, to a person interested therein." The privilege does not apply if a defendant acted with actual malice. Actual malice means the publication was motivated by hatred or ill will toward the plaintiff, or the defendant lacked reasonable grounds for belief in the truth of the publication and therefore acted in reckless disregard of the plaintiff's rights. (*Kachlon v. Markowitz* (2008) 168 Cal.App.4th 316, 336 (*Kachlon*).)

"Under Civil Code section 47, subdivision (c), defendant generally bears the initial burden of establishing that the statement in question was made on a privileged occasion, and thereafter the burden shifts to plaintiff to establish that the statement was made with malice." (*Taus v. Loftus* (2007) 40 Cal.4th 683, 721.)

Intuit asserts that the statements were made on a privileged occasion under *Cuenca v. Safeway San Francisco Employees Fed. Credit Union* (1986) 180 Cal.App.3d 985, 995, because "[c]ommunications made in a commercial setting relating to the conduct of an employee have been held to fall squarely within the qualified privilege for communications to interested persons."

Both causes of action allege that Intuit and its employees acted with malice by publishing defamatory statements concerning Plaintiff's professional competence, character, and performance. (Complaint, ¶¶ 76, 79, 100, 104.) The allegations of malice are supported by prior allegations that the statements were made despite Plaintiff's favorable performance reviews. (*Id.* at ¶ 30; see *Kachlon, supra,* 168 Cal.App.4th at p. 336.) Taken together, the allegations are sufficient to plead actual malice and overcome the common interest privilege at the demurrer stage. (*Kelly v. General Telephone Co.* (1982) 136 Cal.App.3d 278, 285 [malice properly pleaded where allegations included ill will and hatred toward the plaintiff].)

The demurrer to the fourth and seventh causes of action based on the common interest privilege is overruled.

Penal Code Section 632 (Fourth and Seventh Causes of Action)

Penal Code section 632 provides in pertinent part that "[e]very person who, intentionally and without the consent of all parties to a confidential communication… records the confidential communication" by "means of any electronic amplifying or recording device" shall be punished as specified. (Pen. Code, § 632, subd. (a).) Confidential communication is defined as "any communication carried on in circumstances as may reasonably indicate that any party to the communication desires it to be confined to the parties thereto, but excludes a communication made…in any other circumstance in which the parties to the communication may reasonably expect that the communication may be overheard or recorded." (Pen. Code, § 632, subd. (c).) Evidence obtained in violation of Penal Code section 632 is inadmissible in a judicial proceeding unless used as proof in an action for violation of Penal Code section 632. (Pen. Code, § 632, subd. (d).)

Intuit contends the demurrer to the defamation and IIED causes of action must be sustained because they are premised on illegally obtained, inadmissible evidence. Specifically, Intuit insists that the claims rely on confidential conversations recorded in violation of Penal Code section 632. Intuit's argument that the conversations were confidential relies on the court taking judicial notice of the Charge of Discrimination. The court did not do so. Even if the court were to consider the Charge of Discrimination, it would not be considered as a judicial admission. At most, it could potentially serve as an evidentiary admission. (*Mt. Hawley Ins. Co. v. Lopez* (2013) 215 Cal.App.4th 1385, 1425, fn. 21 ["A pleading in a prior civil proceeding may be offered as an evidentiary admission against the pleader on summary judgment. [Citations.] Such an admission is an evidentiary admission, not a judicial admission, and may be rebutted with explanatory evidence from the party against whom the admission is offered."].)

The allegations of the Complaint do not support Intuit's theory that the conversation was confidential within the meaning of Penal Code section 632. The Complaint contains no allegations concerning the confidential nature of the conversation. Plaintiff's defamation and IIED claims are also not solely premised on the recorded conversations. Thus, even if Penal Code section 632 applied, it would not entirely dispose of those causes of action. (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047 ["a demurrer cannot rightfully be sustained to part of a cause of action"].)

Finally, Intuit's reliance on *Simmons v. Marriot Court Yard* (N.D.Cal. Dec. 9, 2021, No. 19-cv-04431-PJH) 2021 U.S.Dist.LEXIS 236317, *Lappin v. Laidlaw Transit* (N.D.Cal. 2001) 179 F.Supp.2d 1111, *Geragos v. Abelyan* (2023) 88 Cal.App.5th 1005 (*Geragos*) as authority for dismissing claims based on inadmissible evidence is unpersuasive. None concerned a demurrer. (E.g., *Geragos, supra,* 88 Cal.App.5th at p. 1030 [finding no abuse of discretion in finding unconsented recordings inadmissible for anti-SLAPP motion].)

The demurrer to the fourth and seventh causes of action based on Penal Code section 632 is overruled.

Demurrer Based on Failure to State Sufficient Facts

Fourth Cause of Action – Defamation

In demurring to Plaintiff's defamation claim, Intuit argues that the claim fails to allege: (1) a false statement of fact; (2) republication; (3) and lack of privilege.

"The elements of a defamation cause of action are (1) a publication that is (2) false, (3) defamatory, (4) unprivileged, and (5) has a natural tendency to injure or causes special damage." (*Wong v. Jing* (2010) 189 Cal.App.4th 1354, 1369 (*Wong*).) A plaintiff must set forth the specific words or substance of the allegedly defamatory statements. (*Comstock v. Aber* (2012) 212 Cal.App.4th 931, 948, internal citations omitted.)

The Complaint alleges that Intuit and its employees published false and unprivileged statements concerning Plaintiff's professional competence, character and performance via audio recordings circulated to other Intuit employees. (Complaint, ¶¶ 75-76.) The Complaint also alleges that Wu defamed Plaintiff by falsely claiming to a team member that Plaintiff unlawfully placed a microphone in Sharma's office. (*Id.* at ¶ 32.)

Intuit argues that the defamation claim is based on non-actionable opinion because senior leadership's comments that they "hate" Plaintiff, felt he "lacked character" or "wasn't a great hire" are opinions, not facts. Opinions are not actionable unless they imply a provably false factual assertion. (*Summit Bank v. Rogers* (2012) 206 Cal.App.4th 669, 695-696.) The Complaint does not state a cause of action as to any purely opinion statements.

The defamation cause of action is also based on Wu's false claim about Plaintiff using a recording device, which is not an opinion because it is an objectively verifiable statement. But the Complaint does not allege sufficient facts to determine whether Wu's false claim was unprivileged. (*Wong, supra,* 189 Cal.App.4th at p. 1369.) Plaintiff does not address this argument and instead insists the Complaint sufficiently alleges the identity of the speaker, the substance of the statement, publication, and the damaging nature of the statement.

Intuit relies on Plaintiff's "judicial admissions" in the Charge of Discrimination to contend that Plaintiff cannot allege Intuit's republication of the recordings. Intuit claims that Plaintiff is bound by his admission before the EEOC that the recordings were published "anonymously." The court rejects this argument for reasons discussed above. Intuit's reliance on *Mead v. Sanwa Bank California* (1998) 61 Cal.App.4th 561, 568 (*Mead*) and *Setliff v. E. I. Du Pont de Nemours & Co.* (1995) 32 Cal.App.4th 1525, 1534 (*Setliff*) does not change the analysis. In *Mead,* the court noted it may consider exhibits attached to a complaint, and where the allegations are at odds with the exhibits, the exhibits are given precedence. (*Mead, supra,* 61 Cal.App.4th at p. 568.) Here, no exhibit is attached to the Complaint. In *Setliff*, a plaintiff was bound by the allegations in the amended complaint filed in the same action. Here, Plaintiff has filed only the initial Complaint.

A plaintiff bears the burden of proving an amendment would cure any defect identified on demurrer. (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.) Plaintiff's opposition failed to meet that burden. But because this is the first pleading challenge, the court will grant leave to amend. (*City of Stockton v. Super. Ct*. (2007) 42 Cal.4th 730, 747 [leave to amend is liberally allowed as a matter of fairness, unless the pleading shows on its face that it is incapable of amendment].)

The demurrer to the fourth cause of action for defamation is sustained with leave to amend.

Fifth Cause of Action – Harassment Based on Race and National Origin

Intuit argues Plaintiff's harassment cause of action under the Fair Employment and Housing Act (FEHA) fails to state sufficient facts because it does not allege race or national origin-based conduct that is severe or pervasive enough to be actionable.

FEHA prohibits employers from harassing employees because of, among other things, their race, religious creed, or national origin. (Gov. Code, 12940, subd. (j)(1).) The elements of a FEHA harassment cause of action are (1) the plaintiff was a member of a protected class; (2) he or she was subjected to unwelcome harassment; (3) the harassment was based on the plaintiff's protected status; and (4) the harassment unreasonably interfered with his or her work performance by creating an intimidating, hostile, or offensive work environment. (*Thompson v. City of Monrovia* (2010) 186 Cal.App.4th 860, 876 (*Thompson*).)

"[H]arassment consists of conduct outside the scope of necessary job performance, conduct presumably engaged in for personal gratification, because of meanness or bigotry, or for other personal motives." (*Janken v. GM Hughes Electronics* (1996) 46 Cal.App.4th 55, 63 (*Janken*).) The plaintiff must show the harassment was sufficiently severe or pervasive to alter the terms and conditions of his or her employment. (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 706.)

Here, the Complaint alleges the following harassing conduct based on Plaintiff's national origin: (1) Wu's comment, "You know how those [Israel-based Bill Pay team members] are, the personalities are very difficult"; (2) Sharma's statement that Plaintiff and the only other Israeli employee were "not great hires"; (3) Sharma's plan to terminate Plaintiff the same way another Israeli employee had been terminated; (4) Sharma's use of Hindi when engaging in defamatory and discriminatory conversations as an expression of hatred toward non-Indian colleagues; and (5) antisemitic and anti-Israeli posts on Blind, Intuit's internal forum. (Complaint, ¶¶ 24-28, 33.)

As an initial matter, Intuit's argument that Plaintiff cannot allege that Intuit had control over the Blind posts is unpersuasive. Plaintiff's allegation that he reported antisemitic posts on Intuit's internal forum to human resources implies that Intuit had some control over the Blind forum. (Code Civ. Proc., § 452 [allegations of pleading must be liberally construed, with a view to substantial justice between the parties].) Intuit also argues that its liability for non-employee conduct depends on its ability to stop and prevent harassment. That argument is unpersuasive because the Complaint alleges that antisemitic posts were made on Intuit's *internal* forum. (Complaint, ¶ 33.) Plaintiff's ability to prove that Intuit had control over the Blind posts is not relevant on demurrer. (*Committee on Children's Television, Inc. v. General Foods Corp*. (1983) 35 Cal.3d 197, 214 ["the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court [on demurrer].")

Intuit argues that the Complaint fails to allege severe or pervasive conduct based on Plaintiff's national origin. The allegations that Plaintiff and another Israeli employee were "not great hires" and terminated cannot, without more, cannot form the basis of Plaintiff's harassment claim. (*Thompson, supra,* 186 Cal.App.4th at p. 879 [harassment does not include commonly necessary personnel management actions, such as firing and performance evaluations].) Wu's comment, Sharma's use of Hindi in discriminatory conversations, and the Blind posts may constitute a "mere offensive utterance" or inconsiderate comments. But the allegations do not demonstrate the chronic abuse or harassment that would "reasonably interfere with work performance." (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 870 [evaluating severe or pervasive by the totality of the circumstances, including frequency and severity of the conduct, humiliation or a mere offensive utterance].)

Plaintiff asserts that his working conditions were impacted by unwarranted negative scrutiny, retaliatory micromanagement, reassignment to a manager who openly disliked Plaintiff, pretextual grounds for termination, and the Blind posts. But the Complaint does not allege specific material facts, outside of Intuit's employment actions, that were "so severe or pervasive" and not "occasional, isolated, sporadic, or trivial" that they altered the conditions of his employment. (*Hope v. California Youth Auth.* (2005) 134 Cal.App.4th 577, 588 ["plaintiff must show concerted pattern of harassment of repeated, routine or generalized nature."])

Plaintiff did not meet his burden to demonstrate a reasonable possibility of amendment. But because this is the first pleading challenge, the court will grant leave to amend.

The demurrer to the fifth cause of action is sustained with leave to amend.

Sixth Cause of Action – Failure to Prevent Discrimination, Harassment, and Retaliation

In demurring to the sixth cause of action, Intuit argues that (1) the claim rises and falls with the fifth cause of action for harassment; and (2) FEHA does not support a claim for a failure to prevent retaliation.

Under FEHA, an employer has an obligation to "take all reasonable steps necessary to prevent discrimination and harassment from occurring." (Gov. Code §12940, subd. (k).) An actionable claim under Government Code section 12940, subdivision (k) is dependent on an actual claim for discrimination or harassment. (*Scotch v. Art Institute of California* (2009) 173 Cal.App.4th 986, 1021.)

Because Intuit has not challenged Plaintiff's second cause of action for discrimination based on race and national origin, the claim remains viable and supports the sixth cause of action. The demurrer is overruled because a demurrer cannot be sustained to part of a cause of action. (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047.) The court also notes the unpublished federal decision cited by Intuit (*Duran v. Stock Bldg. Supply West, LLC* (C.D.Cal. Mar. 9, 2015, No. CV 14-00511 BRO (FFMx)) 2015 U.S. Dist. LEXIS 96298, at *49) for the proposition that FEHA does not prohibit employers from failing to take all reasonable steps to prevent retaliation is inconsistent with published California authorities. (*Taylor v. City of Los Angeles Dept. of Water & Power* (2006) 144 Cal.App.4th 1216, 1240 ["we conclude that retaliation is a form of discrimination actionable under section 12940, subdivision (k)"], disapproved on another ground in *Jones v. Lodge at Torrey Pines Partnership* (2008) 42 Cal.4th 1158, 1173; *Vines v. O'Reilly Auto Enterprises, LLC* (2022) 74 Cal.App.5th 174 [reversing reduction of attorney fees after jury found in favor of plaintiff on retaliation and failure to prevent retaliation claims]; *Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 81 [reversing grant of summary adjudication on retaliation and the derivative failure to prevent retaliation claim because triable issues remained].)

The demurrer to the sixth cause of action is overruled.

Seventh Cause of Action – IIED

In demurring to Plaintiff's IIED cause of action, Intuit asserts that the Complaint does not allege outrageous conduct or severe distress.

The elements of an IIED cause of action are: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050, superseded by statute on another point, as stated by *Wawrzenski v. United Airlines, Inc.* (2024) 106 Cal.App.5th 663, 699.) Conduct is sufficiently outrageous if it exceeds " ' " 'all bounds of that usually tolerated in a civilized community.' " ' " (*Id.* at p. 1051.) An IIED cause of action may survive where the conduct at issue violates FEHA and satisfies the elements of the IIED cause of action. (*Light v. Department of Parks & Recreation* (2017) 14 Cal.App.5th 75, 101.) But a "simple pleading of personnel management activity is insufficient to support a claim of intentional infliction of emotional distress, even if improper motivation is alleged." (*Janken, supra,* 46 Cal.App.4th at p. 80.)

Here, Plaintiff's IIED cause of action adequately alleges extreme conduct through the campaign of retaliation, the recorded false and malicious statements, and discriminatory treatment based on Plaintiff's national origin. (Complaint, ¶ 100.) Intuit did not demur to the discrimination cause of action, which is accepted as true at this stage. (See *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243 (*Nazir*) [IIED claim not barred " 'where the distress is engendered by an employer's illegal discrimination practice' "].)

But as to the other elements (Plaintiff's suffering and causation), the Complaint fails to state a cause of action. The Complaint did not adequately allege the extent of Plaintiff's emotional distress. Nor did it adequately allege causation between defendants' conduct and that distress. The Complaint's general allegation that, "Plaintiff suffered and continues to suffer severe emotional distress, humiliation, mental anguish, and other damages" is insufficient for purposes of demurrer. (Complaint, ¶ 103; see *Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227 [emotional distress inadequately pleaded where plaintiff "pleaded no facts demonstrating the nature, extent or duration of her alleged emotional distress"].)

Plaintiff has demonstrated the Complaint is capable of amendment by describing the extent of his emotional injuries in meet and confer correspondence conducted prior to the filing of the present demurrer. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 ["Plaintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading"].) The court will grant leave to amend.

The demurrer to the seventh cause of action is sustained with leave to amend.

CONCLUSION

Intuit's motion to strike is denied.

Intuit's demurrer to the fourth and seventh causes of action based on the common interest privilege and Penal Code section 632 is overruled.

Intuit's demurrer to the fourth, fifth, and seventh causes of action based on failing to state sufficient facts is sustained with leave to amend. The court does not grant leave to add any new parties or causes of action. (See *Zakk v. Diesel* (2019) 33 Cal.App.5th 431, 456.)

Intuit's demurrer to the sixth cause of action based on failing to state sufficient facts is overruled.

Any amended pleading must be filed and served no later than August 14, 2026.

The court will prepare the order.

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Calendar Line 2
Case Name: Soraya Vela v. Santa Clara County Office of Education
Case No.: 23CV423212

This is an action for retaliation brought by plaintiff Soraya Vela (Vela) against her former employer, defendant Santa Clara County Office of Education (SCCOE). Vela's original verified complaint was filed in September 2023. A verified first amended complaint (FAC) was filed in September 2024. The FAC alleged five causes of action: (1) retaliation (Lab. Code, § 1102.5); (2) retaliation (Lab. Code, § 6310); (3) discrimination (Gov. Code, § 12940, subd. (a)); (4) retaliation (Gov. Code, § 12940, subds. (h), (i)); and (5) failure to prevent discrimination (Gov. Code, § 12940, subd. (k)). SCCOE demurred to the FAC's second through fifth causes of action, which was sustained by the court (Judge Chung) with leave to amend in August 2024.

The operative verified second amended complaint (SAC) was filed in August 2024. The SAC alleges four causes of action: (1) retaliation (Lab. Code, § 1102.5); (2) retaliation (Lab. Code, § 6310); (3) retaliation (Gov. Code, § 12940, subds. (h), (i)); and (4) failure to prevent discrimination (Gov. Code, § 12940, subd. (k)). There are no exhibits attached to the SAC. SCCOE demurred to the SAC's second, third, and fourth causes of action, which was heard by the court (Judge Chung) in January 2025. In its January 14, 2025 order, the court sustained the demurrer to all three challenged causes of action without further leave to amend. That left the first cause of action for retaliation in violation of Labor Code section 1102.5 as the only remaining cause of action. The court takes judicial notice of that order on its own motion. (Evid. Code, § 452, subd. (d).)

SCCOE answered the SAC in August 2025. Vela filed a petition for writ of mandate challenging both demurrer orders. The petition was summarily denied by the Court of Appeal.

At issue is SCCOE's motion for summary judgment, opposed by Plaintiff. The motion was advanced to July 14 so that it could be heard before trial.

REQUEST FOR JUDICIAL NOTICE

SCCOE requests judicial notice of four documents in its three-volume compendium of supporting evidence. "Judicial notice may not be taken of any matter unless authorized or required by law." (Evidence Code § 450.) A precondition to judicial notice in either its permissive or mandatory form is that the matter to be noticed be relevant to the material issue before the Court. (*Silverado Modjeska Recreation and Park Dist. v. County of Orange* (2011) 197 Cal.App.4th 282, 307.) Requests for judicial notice must be filed separately and the request could be denied on this basis alone. (Cal. Rules of Court, rule 3.1113(*l*).)

The four documents are submitted as exhibits A-D in the compendium of evidence. They consist of three court filings from this case and a copy of a Senate Bill. The request is denied as unnecessary and irrelevant to the material issues before the court. The court already considers the operative pleading in ruling on a motion for summary judgment. And the court has already taken judicial notice of the January 14, 2025 demurrer order.

LEGAL STANDARDS—SUMMARY JUDGMENT

The pleadings limit the issues presented for summary judgment or summary adjudication and such a motion may not be granted or denied based on issues not raised by the pleadings. (See *Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258 (*Laabs*); *Nieto v. Blue Shield of Calif. Life & Health Ins*. (2010) 181 Cal.App.4th 60, 73 (*Nieto*).) The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co*. (2001) 25 Cal.4th 826, 850 (*Aguilar*).) A motion for summary judgment or adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an "issue of duty." (See Code Civ. Proc., § 437c, subd. (f)(1); *McClasky v. California State Auto. Ass'n* (2010) 189 Cal.App.4th 947, 975 (McClasky); *Palm Spring Villas II Homeowners Association, Inc. v. Parth* (2016) 248 Cal.App.4th 268, 288.)

"A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action." "The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co*. (2002) 98 Cal.App.4th 66, 72; internal citations omitted.) "There is a triable issue of material fact if, and only if, the evidence would allow a reasonable finder of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof." (*Aguilar*, *supra*, 25 Cal.4th at p. 850.) While the same standards of admissibility govern both sides' supporting evidence, the opposition evidence is liberally construed while the moving party's evidence is strictly construed. (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 768.) The evidence must be liberally construed in support of the opposing party, resolving any doubts in favor of that party. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1037 (*Yanowitz*).)

A reply "shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers." (Code Civ. Proc., § 437c, subd. (b)(4); *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-38; *Nazir v. United Airlines, Inc*. (2009) 178 Cal.App.4th 243, 252.)

Labor Code section 1102.5

The sole remaining cause of action in the SAC alleges a violation of Labor Code section 1102.5, subdivision (b). (Unspecified statutory references are to the Labor Code.) Labor Code section 1102.5, subdivision (b) states. "An employer, or any person acting on behalf of the employer, shall not retaliate against an employee for disclosing information, or because the employer believes that the employee disclosed or may disclose information, to a government or law enforcement agency, to a person with authority over the employee or another employee who has the authority to investigate, discover, or correct the violation or noncompliance, or for providing information to, or testifying before, any public body conducting an investigation, hearing, or inquiry, if the employee has reasonable cause to believe that the information discloses a violation of state or federal statute, or a violation of or noncompliance with a local, state, or federal rule or regulation, regardless of whether disclosing the information is part of the employee's job duties."

Labor Code section 1102.6 states, "In a civil action or administrative proceeding brought pursuant to Section 1102.5, once it has been demonstrated by a preponderance of the evidence that an activity proscribed by Section 1102.5 was a contributing factor in the alleged prohibited action against the employee, the employer shall have the burden of proof to demonstrate by clear and convincing evidence that the alleged action would have occurred for legitimate, independent reasons even if the employee had not engaged in activities protected by Section 1102.5."

"Section 1102.6 provides the governing framework for the presentation and evaluation of whistleblower retaliation claims brought under section 1102.5. First, it places the burden on the plaintiff to establish, by a preponderance of the evidence, that retaliation for an employee's protected activities was a contributing factor in a contested employment action. The plaintiff need not satisfy *McDonnell Douglas* in order to discharge this burden. Once the plaintiff has made the required showing, the burden shifts to the employer to demonstrate, by clear and convincing evidence, that it would have taken the action in question for legitimate, independent reasons even had the plaintiff not engaged in protected activity." (*Lawson v. PPG Architectural Finishes, Inc*. (2022) 12 Cal.5th 703, 718 (*Lawson*).) "The first prong of the statute also tells us what plaintiffs must prove to establish liability, and by what evidentiary standard. Specifically, plaintiffs must show, by a preponderance of the evidence, that whistleblowing was a contributing factor in the employer's decision. This is a complete set of instructions for the presentation and evaluation of evidence in section 1102.5 cases." (*Id*. at p. 712.) A "contributing factor" is "any factor, which alone or in connection with other factors, tends to affect in any way the outcome of the decision." (*Id*. at p. 714.)

"There is no language in section 1102.6 exempting certain claims for relief. By its terms, once the employee has met its burden to show that a protected disclosure was a 'contributing factor' in an adverse employment action, the statute simply shifts the burden to the employer. Thus, a straightforward reading of section 1102.6 is that if the jury finds the employer satisfies its second-step burden in a civil case, the employee is barred from all relief." (*Veverka v. Dept. of Veterans Affairs* (2024) 102 Cal.App.5th 162, 1174 (*Veverka*), internal citations omitted, citing *Vatalaro v. County of Sacramento* (2022) 79 Cal.App.5th 367, 387-388 [affirming summary judgment for employer that met its burden under 1102.6 to make a same-decision showing].) "An interpretation of section 1102.6 that precludes liability where an employer has met its burden at the second step of the statute's framework is consistent with its plain language and gives effect to every phrase and word, including 'alleged' and 'contributing factor.'" (*Id.* at p. 176.)

"[T]he protections of section 1102.5[, subdivision] (b) apply only where the disclosing employee 'has reasonable cause to believe that the information discloses a [legal] violation.' (*Ibid.*) This clause imposes a requirement of objective reasonableness and excludes from whistleblower protection disclosures that involve only disagreements over discretionary decisions, policy choices, interpersonal dynamics, or other nonactionable issues. Moreover, an employer accused of retaliation in violation of section 1102.5[, subdivision] (b) can rebut the charge by 'demonstrat[ing] by clear and convincing evidence that the alleged [retaliatory] action would have occurred for legitimate, independent reasons even if the employee had not engaged in activities protected by Section 1102.5.' (§ 1102.6.)" (*People ex rel. Garcia-Brower v. Kolla's, Inc.* (2023) 14 Cal.5th 719, 734 (*Kolla's*).) "[S]ection 1102.5 claims are evaluated on the basis of a distinct evidentiary standard and framework set by statute." (*Id.* at p. 732.)

DISCUSSION

SCCOE moves for summary judgment on the basis that "there is no triable issue of material fact" as to the one remaining cause of action for violation of Labor Code section 1102.5, subdivision (b). (See SCCOE's notice of motion.) The notice also lists three "issues" for summary adjudication in the alternative that are not issues of duty and are not bases for summary adjudication; they are simply arguments for summary judgment of the one remaining cause of action. SCCOE argues that "there is no evidence that Plaintiff engaged in activity protected by Labor Code section 1102.5, or that any such activity contributed to her release from employment. Furthermore, even if Plaintiff did meet her burden, the undisputed evidence establishes that SCCOE had a legitimate, independent reason to release Plaintiff from her probationary employment." (Memorandum at p. 14:17-20.)

The first cause of action is expressly based on an email Vela sent to coworkers on February 17, 2022. (See SAC at ¶¶ 53-59.) Vela alleges this email was the reason for her termination in violation of Labor Code section 1102.5, subdivision (b). (See SAC at ¶ 59 ["Ms. Vela's email on or about 17 February 2022 was the reason SCCOE decided to terminate her employment."]) Vela is bound by her verified allegations on summary judgment.

In sustaining the demurrer to the SAC's second through fourth causes of action, the court found that this email (which is quoted in full on page 9 of the SAC) "does not indicate that Vela has any complaint about any safety issues; instead, it merely requests information from co-workers and then informs them of ways in which they can address any needs that they might have, including technological and ergonomic needs. The February 17 email does not articulate any of the safety issues alleged in the SAC and cannot fairly be construed as a report of health or safety issues in the workplace." (Jan. 14, 2025 order at p. 6:17-22.) The court further found that "not only does the February 17, 2022 email fail to set forth a complaint of discrimination or health and safety violations, but it also fails to set forth or describe *any basis for a potential* complaint of discrimination or health and safety violations. Again, the email merely requests information from coworkers and then informs them of ways in which they can 'open a ticket with Technology to request your docking station [and other devices]' or 'open a ticket with Risk Management Department to request an ergonomic assessment,' and then describes what that ergonomic assessment will provide them. (SAC, p. 9:14-28.) No act of discrimination or safety violation is called out in this email. . . . Ultimately the court finds (as it did in its prior ruling) that because the February 17, 2022 email does not complain or warn against anything specific, it cannot be considered protected activity under *Ferrick*, *supra*; and it is likewise an insufficient basis for a claim of 'anticipatory retaliation' under *Lujan*." (*Id*. at pp. 7:17-8:6.)

In sustaining the demurrer to the third cause of action without further leave to amend, the court also found that the February 17, 2022 email "is not and cannot be reasonabl[y] construed as an employee's communication to the employer that sufficiently conveys the employee's reasonable concerns that the employer has acted or is acting in an unlawful discriminatory manner," and that the email "is far too vague and non-specific (and was also never intended to be communicated to the employer)." (*Id*. at p. 9:14-16 and p. 10:8-9.)

The court agrees with and adopts Judge Chung's findings regarding the February 17, 2022 email included in the SAC. The specific language of the February 17, 2022 email, and the express allegation in the SAC that the email was the reason for Vela's termination in violation of Labor Code section 1102.5, controls over the more general allegations in the SAC and in the first cause of action. "Where a pleading includes a general allegation, such as an allegation of an ultimate fact, as well as specific allegations that add details or explanatory facts, it is possible that a conflict or inconsistency will exist between the more general allegation and the specific allegations." (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1235.) "To handle these contradictions, California courts have adopted the principle that specific allegations in a complaint control over an inconsistent general allegation." (*Id*. at pp. 1235–1236.) "Under this principle, it is possible that specific allegations will render a complaint defective when the general allegations, standing alone, might have been sufficient." (*Id*. at p. 1236.)

The specific language of the February 17, 2022 email Vela sent to coworkers, included in the body of the SAC, contradicts more conclusory allegations in the first cause of action that Vela "engaged in activity protected by Labor Code section 1102.5 by reporting to superiors and Human Resources"; that she "made a formal complaint to management or Human Resources about the suspected violations of law"; was engaged in "reporting unlawful activities"; was attempting to uphold "an employee's rights to demand basic workplace protections"; was "terminated because she was engaged in protected activity"; and that the February 17, 2022 email "reflected that Plaintiff had been collecting concerns from coworkers about unlawful working conditions." (See SAC at ¶¶ 52-59.) It also contradicts similar general allegations in the SAC incorporated by reference into the first cause of action.

Because Vela is bound by her pleading on summary judgment, specifically the text of the February 17, 2022 email, she cannot show by a preponderance of the evidence that by sending the email she engaged in "protected activity" that was a contributing factor to her termination. (Lab. Code, § 1102.6.)

Vela's argument in opposition that the February 17, 2022 email reveals violations of state or federal statutes, or activity Vela reasonably believed revealed to be such, is unpersuasive. Her further argument that the evidence submitted with her opposition raises triable issues as to reasonableness of her beliefs is also unpersuasive. As SCCOE points out in its reply, that evidence improperly attempts to expand what is alleged in the first cause of action.

"A moving party seeking summary judgment or adjudication is not required to go beyond the allegations of the pleading, with respect to new theories that could have been pled, but for which no motion to amend or supplement the pleading was brought, prior to the hearing on the dispositive motion." (*Jacobs v. Coldwell Banker Residential Brokerage Co*. (2017) 14 Cal.App.5th 438, 444.) "Declarations in opposition to a motion for summary judgment are not a substitute for amending the pleadings to raise additional theories of liability. '[S]ummary judgment cannot be denied on a ground not raised by the pleadings.'" (*Nativi v. Deutsche Bank National Trust Co*. (2014) 223 Cal.App.4th 261, 290, internal citation omitted; see also *California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 637, fn. 3 ["[a] party may not oppose a summary judgment motion based on a claim, theory, or defense that is not alleged in the pleadings," and "[e]vidence offered on an unpleaded claim, theory, or defense is irrelevant because it is outside the scope of the pleadings"].) Vela is bound by her choice to base her verified first cause of action on the February 17, 2022 email as being the reason for her termination.

The "protections of section 1102.5(b) apply only where the disclosing employee 'has reasonable cause to believe that the information discloses a [legal] violation.'" (*Kolla's*, *supra*, 14 Cal.5th at p. 734.) Section 1102.5 requires "objective reasonableness" (*Id*. at p. 734) and "does not protect employees who do not believe *or who unreasonably believe* that the information they are disclosing shows a violation of the law." (*Id*. at p. 731.) Vela has not met that standard.

One appellate opinion has suggested that a determination of the reasonableness of an employee's belief should generally be left to a jury. (See *Contreras v. Green Thumb Produce, Inc.* (2025) 116 Cal.App.5th 1251, 1261 (*Contreras*).) But that ignores the Supreme Court's instruction in *Kolla's* that section 1102.5(b) "imposes a requirement of objective reasonableness." And the facts here are distinguishable from those in *Contreras*, where the employee claimed (albeit incorrectly) that there was a specific legal violation. Here, the February 17, 2022 email does not disclose information; it requests information from coworkers. It cannot reasonably be construed as disclosing information identifying or suggesting a legal violation. Nor can it be reasonably construed as an act suggesting to SCCOE that Vela may disclose such information. Under an objective standard of reasonableness, sending the February 17, 2022 email cannot be construed as protected activity under Labor Code section 1102.5, subdivision (b).

SCCOE's motion for summary judgment is granted on the basis that Vela did not make the required preliminary showing of protected activity by a preponderance of the evidence. Because summary judgment is granted on that basis, the burden never shifts to SCCOE to show by clear and convincing evidence that it would have terminated Vela for legitimate, independent reasons even if she had not engaged in protected activity. The court therefore does not reach the parties' arguments and evidence on that point. SCCOE's argument that the first cause of action is preempted by the Public Employment Relations Board (PERB) is forfeited for two reasons: (1) it was not asserted in the answer; and (2) it was not raised until the reply brief related to the instant motion. (*Quigley v. Garden Valley Fire Protection Dist*. (2019) 7 Cal.5th 798, 807-810.)

OBJECTIONS TO EVIDENCE

Vela objected to portions of exhibits and declarations submitted by SCCOE in support of its motion. Because the motion for summary judgment has been granted on the basis that Vela did not make the required preliminary showing of protected activity by a preponderance of the evidence, the court does not rule on these objections. "In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review." (Code Civ. Proc., § 437c, subd. (q).) The objections also do not fully comply with California Rules of Court, rule 3.1354.

CONCLUSION

SCCOE's request for judicial notice is denied.

SCCOE's motion for summary judgment on the SAC's one remaining cause of action for retaliation in violation of Labor Code section 1102.5 is granted.

SCCOE is ordered to submit a proposed judgment no later than August 14, 2026.

The August 10, 2026, trial date, and all other future court dates, are vacated.

The court will prepare the order.

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Calendar Line 6
Case Name: Ngoc Huynh v. Hyundai Motor America
Case No.: 25CV476098

In this Song-Beverly Warranty Act case, defendant Hyundai Motor America (Hyundai) petitions to compel arbitration based on the 2022 Owners Handbook & Warranty Information issued to Plaintiff Ngoc Huynh (Huynh) in connection with her purchase of a 2022 Hyundai NEXO (Subject Vehicle). Notice is proper and the petition is unopposed. Failure to oppose a motion may be deemed a consent to the granting of the motion. (Cal. Rules of Court, rule 8.54(c).) Failure to oppose a motion leads to the presumption that the non-moving party has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489.) After reviewing the language of this vehicle warranty and the circumstances of its alleged execution, the court concludes the motion should be denied. Defendant's request for judicial notice of the complaint in this matter is granted. (Evid. Code, § 452, subd. (d).)

2022 OWNERS HANDBOOK & WARRANTY INFORMATION

The vehicle warranty upon which Huynh brings this action is one of a series of warranties contained in a 48-page document titled "2022 Owner's Handbook and Warranty Information" (Owners Handbook). The arbitration provision appears on pages 12-14 of the Owner's Handbook. It states, in relevant part, that the parties "each agree that any claim or disputes between us (including between you and any of our affiliated companies) related or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, and any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty . . . shall be resolved by binding arbitration at either your or our election even if the claim is initially filed in a court of law . . . ." (Declaration of Ali Ameripour, Ex. 1 at Ex. A, p. 12.) Toward the end of the provision, it states: "This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. § 1-16." (*Id.* at p. 14.) The Owner's Handbook is not signed and there is no evidence that Huynh was made aware of the text of the warranties in this document or the arbitration provision contained therein before she purchased the Subject Vehicle from the dealer.

Under the Federal Arbitration Act (FAA), the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute as issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093, citations omitted; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

No Mutual Assent

There is no indication that Huynh signed the Owner's Handbook or knew of its provisions at the time of sale. Hyundai fails to demonstrate mutual assent. Under certain circumstances, including those involving an unsigned employee handbook, a contract may be void if "a party, before making the agreement, lacks reasonable opportunity to learn its terms." (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 790 [addressing arbitration provision contained in an employee handbook], citing *Rosenthal v. Great Western Financial Securities*

Corp. (1996) 14 Cal.4th 394, 421.) As noted in *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279 (*Norcia*), another case involving an unsigned brochure (entitled "Product Safety & Warranty Information"): "Even if there is an applicable exception to the general rule that silence does not constitute acceptance, courts have rejected the argument that an offeree's silence constitutes consent to a contract when the offeree reasonably did not know that an offer had been made." (*Norcia*, 845 F.3d at p. 1285 [applying "basic principles of California contract law"].)

No Equitable Estoppel

Hyundai argues that notwithstanding Huynh's lack of assent and lack of knowledge regarding the arbitration provisions, she is equitably estopped from challenging these provisions in the vehicle warranty because she has affirmatively asserted the warranty by seeking repairs from Hyundai and bringing this Song-Beverly Action.

A nonsignatory to a contract is generally " 'estopped from avoiding arbitration if [he] knowingly seeks the benefits of the contract containing the arbitration clause.' [Citation.] Equitable estoppel, thus, 'precludes a party from claiming the benefits of a contract while simultaneously attempting to avoid the burdens that contract imposes.'" (*Philadelphia Indemnity Insurance Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, 841 [citations omitted].) But warranties like that found in the Owner's Handbook are "governed by a different set of rules" in California: "A seller is bound by any express warranties given to the buyer, including statements in written warranty agreements, advertisements, oral representations, or presentations of samples or models. [Citations.] Language in a written warranty agreement is 'contractual' in the sense that it creates binding, legal obligations on the seller [citation], but a warranty does not impose binding obligations on the buyer. Rather, warranty law 'focuses on the seller's behavior and obligation—his or her affirmations, promises, and descriptions of the goods—all of which help define what the seller in essence agreed to sell.' [Citations.] A buyer may have to fulfill certain statutory conditions to obtain the benefit of a warranty. See, e.g., Cal. Civ. Code[,] § 1793.02(c) (stating that '[i]f the buyer returns the [assistive device for an individual with a disability] within the period specified in the written warranty,' the seller must adjust or replace the device (emphasis added)). But a warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises." (*Norcia*, *supra*, 845 F.3d at p. 1288.)

Norcia was not an equitable estoppel case, because the plaintiff there did not attempt to enforce the warranty. But its reasoning is nonetheless persuasive. A warranty is an atypical contract. It is essentially one-sided, even though it is offered only after a buyer has agreed to pay for something pursuant to a sales contract. And it imposes obligations on a seller (or, in this case, on a manufacturer who passes the car into the stream of commerce through an authorized dealer who is the actual "seller"), but no independent, free-standing obligations on a buyer. It is unreasonable to expect a car buyer to know or anticipate that the buyer is necessarily agreeing to arbitrate all claims against that manufacturer merely by receiving a pre-printed warranty in an owner's handbook.

The proposition that a manufacturer can compel arbitration in virtually every Song-Beverly case simply by inserting language into an owner's handbook—without ever calling the buyer's attention to that language—runs counter to the reasoning of *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122. In that case, the Supreme Court concluded that a manufacturer could not enforce an arbitration provision in a sales contract to which its authorized dealer and a car buyer both affirmatively assented (but to which the manufacturer itself was not a party). (*Id.* at p. 1126.) Allowing a car manufacturer to perform an end-run around that decision simply by inserting an undisclosed and unsigned arbitration provision into an owner's handbook containing warranty terms would be an inequitable result. (*UFCW & Employers Benefit Trust v. Sutter Health* (2015) 241 Cal.App.4th 909, 929 [" 'The linchpin for equitable estoppel is . . . fairness.' "].) In contrast to other reported California decisions in which the equitable estoppel has been applied, the present case "does not present the unfairness that equitable estoppel is designed to avoid." (*Id.* at p. 931.)

Conclusion

The petition to compel arbitration is DENIED.

The court will prepare the order.

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